

"About 80 per cent of my business is in the US and Europe; I don't know where my next order will come from."

SHARAD SARAF 61, Exporter

Profits down 15%

DEALS MAINLY IN

garments, yarn, precision engineering products Saraf was already battling high inflation, a weak rupee and high steel prices, when the tremors of the US financial crisis hit his 30-year-old business worth Rs 350 crore. "Nobody can be prepared for this," says the weary exporter, who finds his capital drying up with banks refusing to lend as dollar funds are frozen. Earlier, I used to get export finance in dollar terms—LIBOR plus 2 per cent. "With the retail sector in Europe hit, there is no buying. My profitability is affected—by 10-15 per cent in textiles and 5-7 per cent in engineering." He has had to cut travel expenses and hiring. *by Nivedita Mukherjee*

UMESH GOSWAMI



banks. Ergo, nearly 80 per cent of the deposits (Rs 27,00,000 crore) are guaranteed. Even in the case of ICICI Bank, deposits of around Rs 90,000 crore are backed by a net worth of Rs 46,471 crore. Most importantly, there never has been a bank failure since the 1950s as depositors of failed banks have been rescued through mergers with stronger banks.

Yes, those who invested in equity or equity mutual funds have been hit and there the caveat is: buyer beware. Almost all funds and shares have lost over 50 per cent of their value from the peak and a fourth of the BSE 500 stocks are quoting below book value. Losses, therefore, are notional and contextual. At current levels, those who invested after February 2006 when the index touched 10,000 have lost money. The perspective, therefore, has to be based on the investor's time horizon and when the money was needed. So if a person was planning to use the money this month or was to retire, the damage would be severe. Indeed, CPI leader D. Raja uses the crash to ask "what would have happened if pension monies were invested in equity mutual funds". Essentially, it boils down to risk appetite.

What about debt funds? The exodus of one-third of the collection of Rs 30,000 crore from liquid funds and FMPs signals a serious problem, however. Many corporate entities like Reliance Industries have withdrawn almost all their investments from mutual funds. Indeed, the higher daily volumes of about Rs 14,000 crore in the overnight call money market as also rates of over 20 per cent have been triggered partly by funds facing redemption pressures. The fear is driven by market information. By definition, liquid funds are perceived as capital safe since the money is invested in rated debt securities. But there is suspicion that norms were flouted. It is believed that in a large number of funds, the managers acquired paper from Non-Banking Financial Companies (NBFCs) and lent them monies which may have been diverted to realty outfits or to brokers to fund ramping up of shares. The crash in both realty and stock markets could have either halved the values or rendered the underlying assets illiquid. In either case, the investor is hit. Not surprisingly, there is a suggestion for SEBI to appoint its representative on the investment advisory councils as the Insurance Regulatory and Development Authority has done with insurance companies.

"The global meltdown won't affect us very much, provided there is liquidity in the banking system and the rupee doesn't depreciate significantly."

ADI GODREJ, CHAIRMAN, GODREJ INDUSTRIES

"Yes, there will be lay-offs. It's going to have a ripple effect on everybody. There is cause for concern, but there is no need to panic."

SAMIR CHOPRA, PRESIDENT, BPO ASSN, INDIA

"What makes me optimistic are the strong fundamentals of the economy—the savings-to-GDP ratio, our investment-to-GDP ratio."

KAMAL NATH, COMMERCE MINISTER